

AMERICOLD REALTY TRUST COLD

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by

dman976

2026 2027

Price:	15.02	EPS	1.28	1.30
Shares Out. (in M):	287	P/E	11.7	11.5
Market Cap (in \$M):	4,366	P/FCF	0	0
Net Debt (in \$M):	4,431	EBIT	0	0
TEV (in \$M):	8,797	TEV/EBIT	0	0

Description

Executive Summary

Although we have a limited history in the REIT space, COLD's standing as both a real estate owner and cold chain operator offered a wide enough moat to attract our attention. COLD provides temperature-controlled storage, pallet handling services, and other value-added services for its food manufacturing and retail customers throughout their supply chain networks, deeply entrenching themselves in the food security of North America and internationally.

COLD and the rest of the cold storage industry underwent a tumultuous period of time from 2022 to basically today. This period has been characterized by significant capacity expansion from speculative development during a period of low interest rates and erratic inventory order patterns, food inflation, and the beginning stages of GLP-1 adoption. These aforementioned items and a series of self-inflicted missteps at COLD drove meaningful occupancy declines, pricing pressures, and ultimately a deeply discounted valuation. The Company and Board has addressed these issues by replacing the CEO. The new CEO, Rob Chambers, was appointed in late 2025. His appointment coincided with activist involvement and it is our belief that he has realigned the company toward a more shareholder focused strategy.

Despite improved strategic execution in recent quarters and indications of an operational turnaround, we believe the stock remains discounted, and investors still have an attractive entry point into a business with high barriers to entry and recession resilient infrastructure. Our base case estimates indicate that shares of COLD are worth ~\$25/share (reflecting upside of ~69%) with our views on valuation primarily informed by private market valuations and a recent joint venture transaction for certain U.S.-based assets of the Company. This transaction crystallized at a ~7% cap rate v. the public market valuation of ~9% today.

Business Description and Why We Like COLD

Americold is the second largest provider of cold storage facilities in both North America and globally. COLD owns hard to replicate assets, often times co-locating their facilities at customer sites. COLD supports its customers across the four primary 3PL cold chain nodes, as shown in the graphic below. As a deeply integrated partner within the food supply chain, Americold provides vital infrastructure that is necessary to move food from farm to table.

Americold is Essential to the Cold Chain

Americold provides mission critical infrastructure from production to consumption



There are four primary 3PL cold chain nodes and Americold has solutions in each one:

- ① Production Support (Production Advantaged)
- ② Distribution Support (Forward Distribution)
- ③ Import | Export Support (Port)
- ④ Store Distribution (Retail)



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COLD is broken down into three segments:

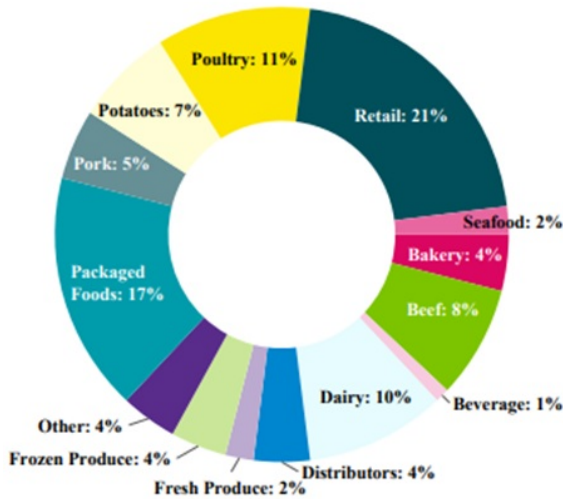
- **Warehouse** (91.4% of total revenue): provides mission critical, temperature controlled real estate that generates revenue via rental and storage, as well as services and handling
- **Transportation** (7.2% of total revenue): coordinates and consolidates shipments from many different vendors that are all headed to the same place. This

is an asset-light logistics business that enhances customer retention, and helps drive warehouse storage and occupancy.

- **Third-Party Managed** (1.4% of total revenue): provides warehouse management services at customer owned facilities. Compensation comes from a fixed management fee, as well as operating cost reimbursement.

COLD has a highly diversified customer base spanning across most of the food industry, and ~3,000 unique clients in total. Their mix of sales toward the retail space has historically held around 20%, and provides exposure to a recession resilient end-market.

Warehouse Segment Revenue by Commodity Type^(a)
(Last Twelve Months Ended June 30, 2026)



~25% of COLD's facilities are strategically located in close proximity (adjacent or adjoined) to their customer's production facilities. This drives deep-rooted relationships and high switching costs, evidenced by a low customer churn of 2.1% (as of Q2 2026). Additionally, 58% of their storage revenue is derived from fixed commitment contracts. This is up from ~39% at YE21, and was recently strengthened by the announcement of a new \$163M production advantaged project with McCain Food. Of COLD's top 25 customers (who account for >50% of total revenues), 100% of this group utilizes their fixed commitment structure. We believe this concentration is more of feature than a bug of the business model, as COLD has been able to solidify themselves as a key extension of food manufacturers' operations, inventory management and distribution.

Why Are We Getting This Opportunity - What Went Wrong?

Our initial entrance into COLD followed a tumultuous period for cold storage. Speculative development flooded the industry with excess capacity, and significant food inflation drove an aggressive inventory destock from food producers, distributors and grocers.

- ~3M pallet positions were added in the U.S. between FY 2022 – 2025, which exceeded 15% of existing capacity
- According to BLS, overall food prices rose >25% cumulatively between 2020 – 2025

These items drove a major decline in COLD's fundamentals, which was further amplified by a series of missteps at the Company:

- **Declining Occupancy:** Excess capacity drove a decline in quarterly same store economic occupancy in 7/8 quarters between Q3 2023 and Q2 2025, and a cumulative 920bp decline in this metric from the Q2 2023 peak to the Q2 2025 trough of 75.5%
 - **Margins Lag Industry Leader:** COLD's same store NOI Margin materially lagged main peer Lineage (34.4% in 2025 vs. LINE at 38.5%) due to a higher operational and corporate cost base.
 - **Poor Capital Discipline:** COLD showed capital destruction via unproductive M&A and underinvestment in warehouse modernization.
- o COLD's assets (~20 years older vs. Lineage) require higher labor and electricity spend due to their older age.
- o Purchase of AGRO in Dec. 2020 drove a \$237M goodwill impairment charge just 3 years later (Q4 2023)- AGRO was COLD's largest deal in history at \$1.7B (22.3x pre-synergized multiple).
 - o COLD's growth capital investments (M&A and development) have meaningfully underperformed original return targets.
- **SG&A Outpacing Revenue:** Despite quarterly same store economic occupancy declining 540bps between Q1 2024 and Q3 2025, SG&A grew YoY in each of those 7 quarters. More broadly, SG&A compounded at a rate ~7.7% higher than revenue over the 5yr period ending FY25
 - **Levered Balance Sheet:** Net Debt to EBITDA was at one of the highest levels since going public at 6.8x (as of FY25) due to a string of poor investments and elevated growth capex despite declining occupancy.

Shares dropped ~27% below the IPO price, and the stock price fell ~63% from the August 2024 high to as low as \$11/share. This pushed valuation multiples well below long-term averages, as demonstrated by the charts below.



COLD Operational Turnaround

Following the appointment of Rob Chambers in September of 2025, COLD began a fundamental turnaround of the business. Chambers presented at the Nareit conference in December 2025, and presented a new strategy for the Company. The strategy realigned focus toward balance sheet repair and disciplined capital allocation. These efforts have already started to show results at COLD in recent quarters:

- **Shifted Pricing Model:** to insulate revenues from occupancy pressures caused by excess supply and food inflation, COLD has increased their level of fixed commitment storage contracts to 58% of storage revenue, up from 39% at YE21
- **Targeted Margin Improvements:**
 - Recently completed first phase of cost initiative program that drove ~\$30M in annual savings and cut indirect headcount by >10% globally
 - Announced New Fit for Purpose initiative which will target additional \$25M in savings by Q1 2027
- **Improved Capital Allocation:** COLD is making an effort to lead the way on industry capacity rationalization by actively reviewing underperforming and outdated facilities
 - Successfully exited 10 underperforming warehouse locations, including 2 previously idled facilities that were sold for ~\$27M in Q2
 - 15 more facilities have either already been idled or are actively awaiting sales
- **Right-sizing SG&A:** as a result of the above outlined cost saving initiatives and warehouse rationalizations, COLD has reduced SG&A as a % Revenue by 80bps YoY and 184bps sequentially (as of Q2)
- **Reducing Leverage:**
 - Secured \$250M delayed draw term loan facility in order to address ~200M in senior notes that were set to mature in early 2026

- Recently announced a JV with EQT, which will drive a ~\$1.1B debt paydown, cut borrowings by 25%, and reduce leverage by 0.75x

In addition to progress on their capital and asset initiatives, fundamental indicators at both the company and industry level are signaling tailwinds ahead for COLD. USDA data for cold storage is showing early signs of a cyclical recovery given increased inventory levels in recent months. Since Chambers took over as CEO, he has slowly rebuilt investor confidence by meeting or exceeding expectations in each of his quarterly reports. Below are highlights from COLD's most recent earnings report:

- Q2 2026 marked the fourth consecutive quarter where AFFO per share either met or exceeded expectations
- Management also raised full-year AFFO per share guidance in Q2 by \$0.04 at the midpoint to \$1.26 - \$1.32 (after accounting EQT JV dilution)
- Physical occupancy was up more than 200bps sequentially in Q2, and the spread between Physical and economic occupancy tightened by 240bps in the Q
- Warehouse inventories increased ~300bps YoY
- Market share gains and record amount of new business wins drove throughput up sequentially and YoY
- Pricing is up YoY for both storage and handling

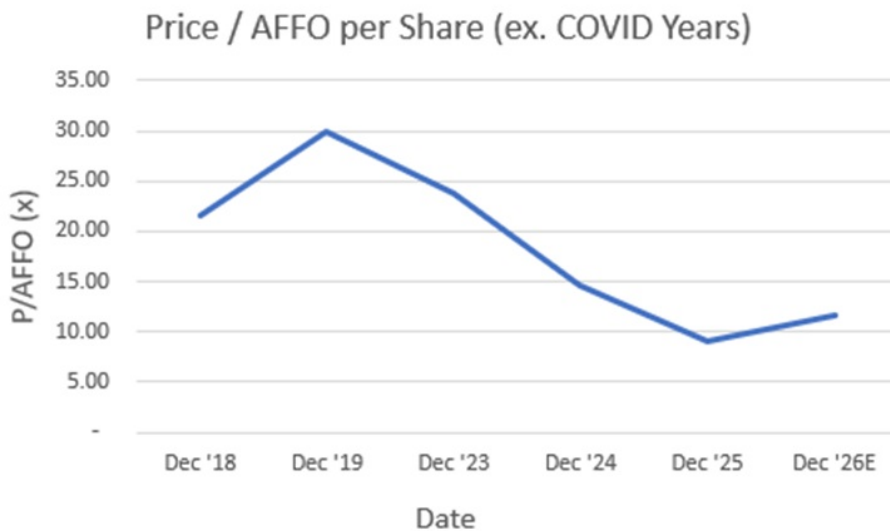
Finally, given management's ongoing efforts to rationalize their warehouse footprint and exit underperforming, low margin locations, we believe COLD still has significant runway ahead as it relates to improving the cost structure and closing the margin gap relative to Lineage.

Valuation

Despite the recent turnaround in both strategic execution and operational results, the market is not yet reflecting this progress in the stock price, which we believe continues to indicate an attractive entry-point for buyers.

COLD currently trades at a ~30% discount to Forward Consensus NAV, with a 2026 P/AFFO that is >8x below the average multiple between 2018 - 2025 (excluding peak COVID years 2020 - 2022).

Metric	Dec '18	Dec '19	Dec '20	Dec '21	Dec '22	Dec '23	Dec '24	Dec '25
Adjusted Funds from Operations (Per share)	\$1.18	\$1.17	\$1.29	\$1.15	\$1.11	\$1.27	\$1.47	\$1.43
<i>P/AFFO</i>	21.64	29.97	28.94	28.51	25.50	23.83	14.56	8.99
<i>Avg. P/AFFO 2018 - 2025 (ex. COVID Years)</i>	19.80							



Additionally, despite a strong 1H where results indicated improving fundamentals (trending above typical seasonality) and a raise to full-year AFFO guidance, consensus estimates still don't assume any acceleration in AFFO/share during 2H 2026, or 2027. Current estimates for full-year 2026 are actually ~flat relative to 2017 (pre-IPO).

Metric	Dec '17	Q1 26	Q2 26	Q3 26E	Q4 26E	Dec '26E	Dec '27E	Dec '28E
Adjusted Funds from Operations (Per share)	\$1.27	\$0.29	\$0.35	\$0.31	\$0.33	\$1.28	\$1.29	\$1.37
<i>Growth YoY</i>						-10.43%	0.51%	6.60%

Finally, the recent Joint Venture with EQT verified our view that COLD's assets are heavily discounted relative to private market valuations. COLD's current Implied Cap Rate is ~9.38%, compared to EQT pegging COLD's assets in the JV at a 7% blended cap rate. Chambers indicated that even though this deal

applied only to 12 facilities, it gives “a good representation of the broader North American portfolio” given the deal is geographically diverse and spreads across node in the supply chain.

The Implied Gross Asset Value from the EQT Joint Venture indicates ~34% upside to COLD's current value, and ~70% upside to their Implied Equity Value per share.

COLD Implied Cap Rate (Consensus Est.)	9.38%				
EQT JV Cap Rate	7%				
	LTM	Q2 2026	Q1 2026	Q4 2025	Q3 2025
Net Operating Income (NOI)	\$790.30	\$201.74	\$186.71	\$206.88	\$194.98
Implied Gross Asset Value	\$8,425.39				
EQT JV Implied Gross Asset Value	\$11,290.03				
Implied Upside - Gross Asset Value	34.00%				
Net Debt	\$4,579.44				
Non-Real Estate Assets	630.5				
<i>Cash & Equivalents</i>	40.5				
<i>Investments in Partially Owned Entities</i>	16				
<i>Assets Under Construction</i>	574				
Other Claims - Noncontrolling Interests	36.5				
Shares Outstanding	288.71				
NAV - Implied Equity Value (COLD)	\$4,439.95				
NAV - Implied Equity Value (EQT JV)	\$7,304.59				
Implied Value Per Share (EQT JV)	\$25.30				
Current COLD Price/Share	\$14.96				
Implied Upside	69.12%				

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Catalyst

USDA Cold Storage data releases Monday, August 24, 2026

Bank of America Real Estate Conference September 15-17, 2026

Joint Venture with EQT closing in Q3 2026

Q3 Earnings release on October 29, 2026

Potential sale of certain COLD International assets (rumors started circulating in late-2025 about interest from private equity - [Semafor Article](#)) or WholeCo sale

Messages

Subject	question
Entry	08/21/2026 10:09 AM
Member	otto695

Interesting, but can you help me square how these two statements are consistent: "a business with high barriers to entry" & "~3M pallet positions were added in the U.S. between FY 2022 – 2025, which exceeded 15% of existing capacity"?

TIA